What happens to stocks when rates rise?

How higher interest rates reach the stock market

Higher rates can put downward pressure on stocks

Rising interest rates affect the present value of future earnings, companies' borrowing costs and the appeal of stocks relative to bonds and deposits.

The economy and earnings also matter

Stocks can rise even while interest rates are increasing if economic activity or corporate earnings are strong.

The key question

Why are interest rates rising?

Why higher rates can weigh on stocks

Four mechanisms that affect share prices

01 Lower theoretical equity values

A higher discount rate reduces the present value of future earnings. Stocks whose value depends heavily on profits far in the future tend to be more sensitive.

02 Bonds and deposits become relatively attractive

When yields on newly purchased bonds and similar assets rise, money may shift from stocks into bonds or deposits.

03 Higher financing costs for companies

Interest costs rise on floating-rate borrowing and when loans are refinanced. Profits at companies that rely heavily on debt can come under pressure.

04 Slower consumption and investment

Higher borrowing burdens can restrain household spending and business investment. Slower sales and profit growth can put downward pressure on stocks.

Not every stock has to fall

Industry characteristics and the reason rates rise change the response

Companies that can face headwinds

Growth stocks and high-P/E stocks: future earnings may receive lower valuations.
Property businesses and highly indebted companies: rising borrowing rates can add pressure.
The size of the impact depends on growth rates and borrowing terms.

Companies that may benefit

Banks: higher lending rates may improve interest margins.
Insurers: returns on newly invested funds may improve.
However, falling prices of existing bond holdings and higher credit costs also matter.

The reason for higher rates matters

Economic expansion: earnings may rise and stocks may advance.
Inflation restraint: tighter conditions may weigh on demand and profits.
The response also depends on whether a rate hike was already expected.
Interest rates alone do not determine stock-price direction.